

for the higher cost of insurance for young males.

Your driving record can help to lower your rates once you've had time to prove you are a good driver. Many companies give discounts if you drive for an extended period with no claims on your record. Learn to be patient and demonstrate your driving skills over time.

The major coverages offered through an automobile insurance policy include:

1. Liability—pays for injuries, sickness, or death of other people and damage to their property when the insured has caused an accident. All states require liability insurance.
2. Medical payments—covers “reasonable” medical and funeral expenses for the insured or anyone riding in the covered automobile, whether or not the accident was the insured's fault (i.e., the concept of no-fault insurance). Medical payments also cover members as pedestrians if an auto strikes them.
3. Uninsured/underinsured motorists—provides immediate payment for whatever bodily injury the insured is legally entitled to receive from a driver who carries no insurance or from a hit-and-run accident.
4. Collision—pays for repair of the covered automobile if not paid by the insurance of someone else causing the damage. Most lenders require all owners to have this coverage because they want the car to be in good shape if the “owner” defaults on payments and the lender repossesses the car.
5. Other—covers theft and damage to the covered automobile from projectiles (such as water damage or windstorms) or from vandalism or fire.

The huge expenses that can result from car accidents are a

